

PHOTO BY **HARDIK CHHABRA**



AUTO

- The US has imposed a 25% tariff on foreign-made vehicles, which will take effect on April 3. Global automobile manufacturers are staring at job losses, price hikes, and supply chain disruptions. Domestic automakers are unlikely to face a significant impact, according to the Society of Indian Automobile Manufacturers. For auto component manufacturers, however, the tariff is likely to have severe implications.

THE IMPACT: Analysts believe the 25% tariff could severely impact operating margins of auto component manufacturers

STEEL

- In FY24, India exported \$475 million worth of iron and steel to the US. While the direct impact is limited, steel manufacturers fear dumping and pricing pressure in the global market.

THE IMPACT: Analysts warn that Indian steel manufacturers could face challenges as major producers like China, Japan, and South Korea redirect their steel exports away from the US due to the tariffs.

Further, pharma exports remain exempt for now, although the US has indicated that it would be hit in the future.

Experts believe that this gives India a competitive advantage in sectors such as electronics, pharma and textiles and ready-made garments, where the major competitors have been slapped with much higher levies.

Jayant Dasgupta, India's former Ambassador to the WTO, agrees that for India, certain sectors like textiles and clothing and electronics could be advantageous, but the exact extent has to be seen. "While higher tariffs will be applied to China, we must realise that 90% of the components used for assembling mobile phones in India come from China. Similarly, in garment manufacturing and exports, India simply does not have the scale and capacity that competitors like China, Vietnam and Bangladesh have, although they have higher tariffs," he points out.

Many countries, including Vietnam and Bangladesh, have signalled their intention to negotiate bilateral deals with the US that could further blunt the edge from the lower reciprocal tariffs on India and the planned BTA.

A NEW APPROACH

Despite the 90 day pause, what Dasgupta and several experts agree upon is that competitive advantage from tariffs cannot be the only way forward for India to navigate this situation. India must rethink its strategies around manufacturing and exports to build domestic resilience, introduce more reforms to make it easier to do business in the country and attract invest-

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increase its share in US imports of late, most of these items have low-to-mid level value addition, making them vulnerable. Of the total US imports from India, electronics accounted for 14.3%, worth \$11 billion, in FY24.

THE IMPACT: Shrimp producers could be hit the hardest if the 26% levy comes into force, per think tank GTRI. The tariffs could lead to a

20% drop in prices in the wholesale market.

According to Indian Cellular & Electronics Association, despite the tariffs, India is better positioned than its competitors, particularly China, Vietnam, Thailand, and Indonesia. This strategic advantage, though marginally less favourable than Brazil or Egypt at 10%, still offers India a critical near-term export competitiveness window.